

books, music, or software; licensing your ideas; becoming a franchisor; owning storage units; owning vending or other types of coin-operated machines; and network marketing, to name just a few. It also includes setting up any business under the sun or moon that is systematized to work without you. Again, it's a matter of energy. The idea is that the business is working and producing value for people, instead of you.

Network marketing, for example, is an amazing concept. First, it doesn't usually require you to put up a lot of up-front capital. Second, once you've done the initial work, it allows you to enjoy ongoing residual income (another form of income without you working), year after year after year. Try creating that from a regular nine-to-five job!

I can't overemphasize the importance of creating passive income structures. It's simple. Without passive income you can never be free. But, and it's a big but, did you know that most people have a tough time creating passive income? There are three reasons. First, conditioning. Most of us were actually programmed *not* to earn passive income. When you were somewhere between thirteen and sixteen years old and you needed money, what did your parents tell you? Did they say, "Well, go out there and earn some passive income?" Doubtful! Most of us heard, "Go to work," "Go get a job," or something to that effect. We were taught to "work" for money, making passive income abnormal for most of us.

Second, most of us were never taught how to earn passive income.

In my school, Passive Income 101 was another subject that was never offered. This time I got to take woodworking and metalworking (notice both still entailed "working") and make the perfect candleholder for my mom. Since we didn't learn about creating passive income structures in school, we learned it elsewhere, right? Doubtful. The end result is that most of us don't *know* much about it, and therefore don't *do* much about it.

Finally, since we were never exposed to or taught about passive income and investing, we have never given it much attention. We have largely based our career and business choices on generating working income. If you understood from an early age that a primary financial goal was to create passive income, wouldn't you reconsider some of those career choices?

I'm always recommending to folks choosing or changing their business or career to find a direction where generating streams of passive income is natural and relatively easy. This is especially important today because so many people work in service businesses where they have to